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4. Liability Clause

The liability clause requires to state the extent to which shareholders of the company are liable to the debt obligations of the company in the event of the company dissolving. There are companies limited by shares and limited by guarantee.

5. Capital Clause

The capital clause requires to state the company's authorized share capital, the different categories of shares and the nominal value (the minimum value per share) of the shares. It is also required to list the company's assets under this clause.

6. Association Clause

The association clause confirms that shareholders bound by the MOA are willingly associating and forming a company. It is required seven members to sign an MOA for a public company and not less than two people for a MOA of a private company. The sighing must be done in the presence of witness who must also append his signature.

6.04 Articles of Association

The Articles of Association (AOA) is a document that contains the purpose of the company as well as the duties and responsibilities of its members. It is an important document which needs to be filed with the Registrar of Companies. These are the bylaws of a company that defines the mode and manner in which the company's business is to be carried on. In the Companies Act, Table A Prescribes model for the articles of the companies. Table A is a document containing rules and regulations for the internal management of a company. A company which does not have separate AOA may adopt Table A.

Contents

(i) Amount of shares, capital, value and type of shares

(ii) Rights of each class of shareholders regarding voting, dividend, return of capital

(iii) Rules regarding issue of shares and debentures

(iv) Procedures as well as regulations in respect of making calls on shares.

(v) Manner of transfer of shares

(vi) Declaration of dividends

(vii) Borrowing powers of the company

(viii) Rules regarding the appointment, remuneration, removal of directors

(ix) Procedure for conducting proxy, quorum, meetings etc.,

(x) Procedures concerning keeping of books and audits

(xi) Seal of the company

(xii) Procedures regarding the winding up of the company.

6.05 Prospectus

According to Section 2(36) of the Companies Act, any document inviting the public to buy its shares or debentures comes under the definition of prospectus. It also applies to advertisements inviting deposits from the public.